Middle East Weekly Review

October 12 to October 18, 2026

- **Week in brief:** The Hormuz shipping war set a record pace (UKMTO's weekly attack tally the highest of the war, with the IRGC declaring the Strait "closed" on Saturday), Brent finished the week at $109.86, touching $110 for the first time since May, and KOSPI suffered its worst week since 2008, down about 14.5% with a circuit breaker on October 15, while the Houthi and Saudi front kept drawing in outside powers, with Egypt offering to defend Saudi Arabia.

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1. The Week's Arc

The week opened with Brent at $106.65 on October 12, its highest settle since mid September, and the Houthi war on Saudi Arabia still centred on Riyadh's King Khalid airport. Iran called the US reply on Hormuz insufficient, the coalition struck Sanaa and Hodeidah, and the Houthis declared Saudi oil sites targets. Oil then held near $106 for four sessions as the shipping war thickened: the GFS Pride container ship sank on October 14 after an Iranian projectile hit it under tow (CENTCOM) or a mine (IRGC), and UKMTO tallied 10 to 12 ships attacked in the week to October 16.

Washington raised the rhetorical stakes without moving. Trump said the US "may have to" hit Pickaxe Mountain, and CBS, CNN and ABC reported MOAB options, but his pledge of no strikes before the November 3 midterms was not withdrawn, and the week's actions were Treasury sanctions and an offer of up to 17 million barrels from the Strategic Petroleum Reserve. The structural change is that planning is now public while restraint is nominally intact.

The Houthi front widened beyond airports: Dhahran (Aramco administrative building), Yanbu (intercepted ballistic missile), Aden (palace and airport) and Marib were all hit, and on Saturday Egypt's Sisi said Egypt is ready to defend Saudi Arabia "if requested." Iran denied directing the attacks and Araghchi backed a "political process," which Yemen's government rejected. In Korea, the October 13 to 15 chip rout, with foreign net selling of 4.51 trillion won and 3.62 trillion won on two sessions and a 7.57% fall on October 15, ended on October 16 with a 2.05% bounce, and the government's response so far is a monitoring meeting.

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2. Indicator Scoreboard

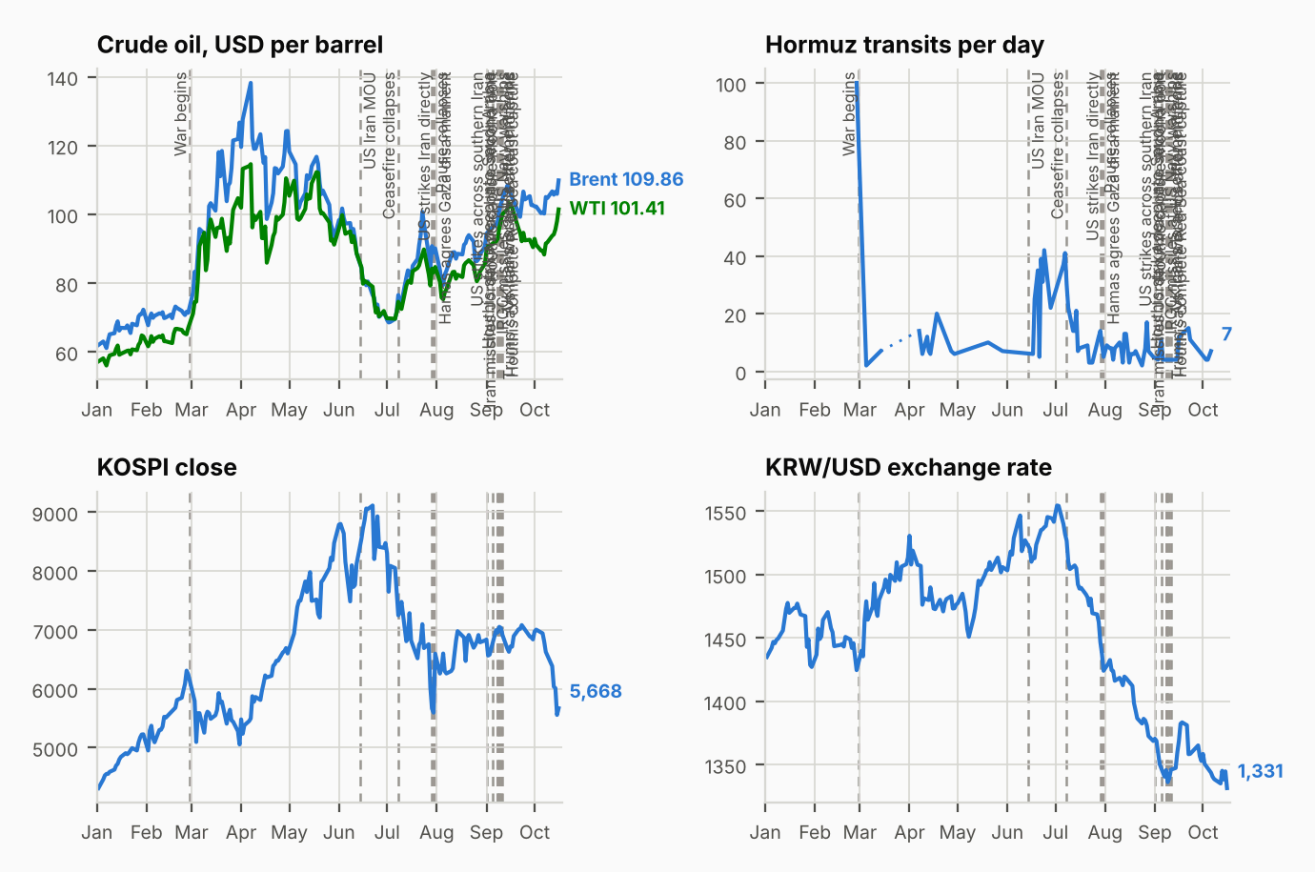
Twenty new indicators were opened from October 12 to October 18 (IND-20261012-1 through IND-20261018-3). Twenty were resolved: **11 confirmed**, **8 falsified** and **1 expired**. Confirmed include IND-20261013-1, IND-20261013-2, IND-20261012-1, IND-20261014-2, IND-20261015-2, IND-20261009-3, IND-20261007-2 and IND-20261011-2; falsified include the oil and KOSPI level calls IND-20261003-2, IND-20261006-2, IND-20261008-2 and IND-20261009-2, and the Yanbu damage and foreign deployment tests IND-20260925-3 and IND-20260926-1. 54 indicators remain open, of which 29 are past their stated deadline and still unresolved (the oldest dates from July and September: IND-20260714-4 has no weekly Ras Laffan figure, and IND-20260715-1 is a Hormuz regime test whose window ended in July).

Calibration note: Level calls on oil and KOSPI were the weak spot: the brief's "oil edges lower" read on October 17 rested on unconfirmed intraday quotes and was wrong by about $4, while the falsified KOSPI above 7,000 and Brent below $95 and $100 calls show the market moving against the earlier ceasefire optimism. Confirmed items

were mostly “continued violence” tests, which resolve reliably; resolution-by-silence items (disclosed meetings, US replies) mostly resolved as not occurring.

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3. Data Trends



Brent settled at $106.65 (Oct 12), $105.69 (Oct 13), $106.56 (Oct 14), $105.92 (Oct 15) and $109.86 (Oct 16), a weekly gain of about 4.9% over $104.72 on Oct 9. WTI settled at $93.74, $94.14, $95.60, $97.97 and $101.41, up about 10% on the week and narrowing the Brent spread from about $13 to about $8.5, consistent with the SPR offer and US crude draws. KOSPI closed at 6,384.24 (Oct 12), 6,035.35 (Oct 13), 6,008.81 (Oct 14), 5,554.22 (Oct 15) and 5,668.05 (Oct 16), about 14.5% below its October 8 close of 6,625.93 (markets were closed October 9), on foreign net selling of roughly 18.1 trillion won over eight sessions before the first net buying of 345 billion won on October 16. The won weakened to 1,345.1 on October 13 and strengthened to 1,331.4 on October 16, a less dramatic path than equities. Hormuz: no exact daily count was found all week; reports put flows about 68 to 70% below pre-war.

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4. Slow Threads

- **Qatar’s Ras Laffan LNG loadings (IND-20260714-4):** still no fresh weekly figure.
- **South Korea’s Hormuz deployment question (IND-20260928-2):** deadline October 19; no Korean government statement found.
- **US carrier and amphibious deployment (IND-20261004-2):** arrival not yet reported; deadline October 25.

- **Saudi East-West pipeline throughput (IND-20260923-1):** no new throughput estimate; deadline November 3.
- **Pickaxe Mountain (IND-20261017-1) and the midterm pause (IND-20261009-1):** the pledge runs to November 3 and the strike test to November 4.

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5. Revisions and Lessons

No material correction to `instructions/korea-exposure.md` was needed. Three lessons: an intraday quote that is not clearly a settle should be left blank, as the October 17 brief's oil figures show, because the final settle can differ by several dollars on a news-driven Friday; reporting windows that end Friday morning KST miss the US oil settle, so Saturday runs should always check the Friday settle before describing the weekly move; and the open ledger now holds 29 items past deadline, so the next weekly should expire or resolve the oldest of them in a separate cleanup instead of carrying them silently.